Nike, Inc.: Financial Statement Analysis

Five fiscal years, FY2022 to FY2026 (years ending 31 May). Figures in $ millions as reported in Nike's Form 10-K filings.

Purpose	Assess how Nike's growth, profitability, efficiency, liquidity, leverage and cash generation have changed over five years.
Data	Income statement, balance sheet and cash flow statement typed in from the 10-K (FY2021 is used only as the base year for growth and averages).
Method	Common-size statements, trend (growth) analysis, ratio analysis, DuPont breakdown of ROE and a cash flow review.
Sheets	
Summary	Key figures and written findings
Charts	Six charts of the main trends
Income Statement / Balance Sheet / Cash Flow	Source statements (blue inputs, black formulas)
Common Size	Each line as a % of revenue or total assets
Ratios	41 ratios and measures, each with its formula and what it shows
Checks	Model totals reconciled to the 10-K
Colour key	
Blue text	Input typed in from the 10-K
Black text	Formula
Green text	Link to another sheet
Checks status	**OK**
Sources	NIKE, Inc. Form 10-K, fiscal 2021, 2022, 2023, 2025 and 2026, from SEC EDGAR (sec.gov).

Nike: Five-Year Financial Statement Analysis

Key figures, fiscal 2022 to 2026 ($ millions unless stated). All figures link to the statements and ratio sheets.

$ millions unless stated	FY2022	FY2023	FY2024	FY2025	FY2026	FY22 to FY26
Revenue	46,710	51,217	51,362	46,309	46,398	**(0.2%)** *a year (CAGR)*
Revenue growth	4.9%	9.6%	0.3%	(9.8%)	0.2%	
Gross margin	46.0%	43.5%	44.6%	42.7%	42.9%	**-3.1 pts**
Operating (EBIT) margin	14.3%	11.5%	12.3%	8.0%	8.2%	**-6.1 pts**
Net income	6,046	5,070	5,700	3,219	3,108	**(48.6%)**
Diluted EPS ($)	$3.75	$3.23	$3.73	$2.16	$2.10	**(44.0%)**
Return on equity	43.1%	34.6%	40.1%	23.3%	22.1%	**-21.0 pts**
Current ratio	2.63x	2.72x	2.40x	2.21x	1.96x	
Cash conversion cycle (days)	101.3	98.6	96.2	95.8	96.4	
Net cash (debt)	3,567	1,742	2,673	1,185	1,085	**(69.6%)**
Free cash flow	4,430	4,872	6,617	3,268	2,184	**(50.7%)**
Cash returned to shareholders	5,851	7,492	6,419	5,285	2,553	

Checks status OK

Key findings

1. Growth has stalled. Revenue rose from $46.7bn (FY2022) to a peak of $51.4bn (FY2024), then fell 9.8% to $46.3bn in FY2025 and was flat at $46.4bn in FY2026.

2. Profitability has roughly halved. EBIT margin fell from 14.3% to 8.2% and net income from $6.0bn to $3.1bn. Diluted EPS fell from $3.75 to $2.10.

3. The margin squeeze comes from both lines. Gross margin is down about 3 points (46.0% to 42.9%), and demand creation (marketing) rose from 8.2% to 10.2% of revenue as Nike spent to win back growth.

4. ROE fell from 43% to 22%. DuPont analysis shows asset turnover and leverage were stable, so the whole decline comes from lower margins.

5. The balance sheet is still strong but the cushion is thinner. Nike remains net cash ($1.1bn), but down from $3.6bn. The current ratio fell from 2.6x to 2.0x, partly because $2bn of debt falls due within a year.

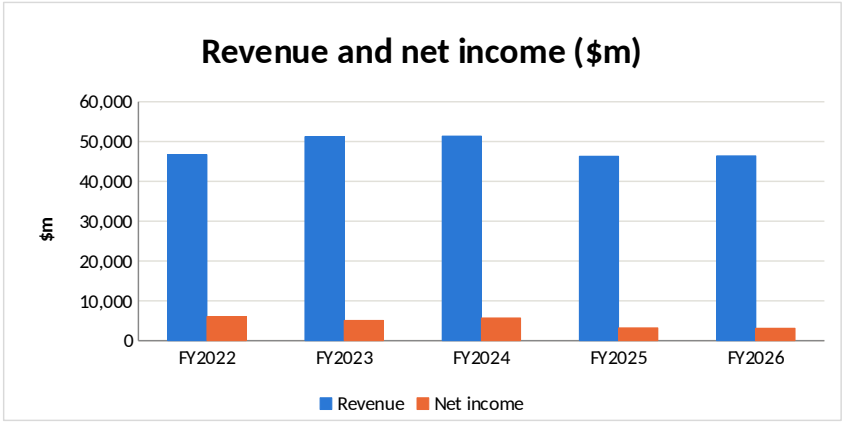
6. Cash returns outran cash generation. Over FY2022 to FY2026, Nike returned $27.6bn through buybacks and dividends against $21.4bn of free cash flow. Buybacks were cut to $0.1bn in FY2026, while the dividend kept rising.

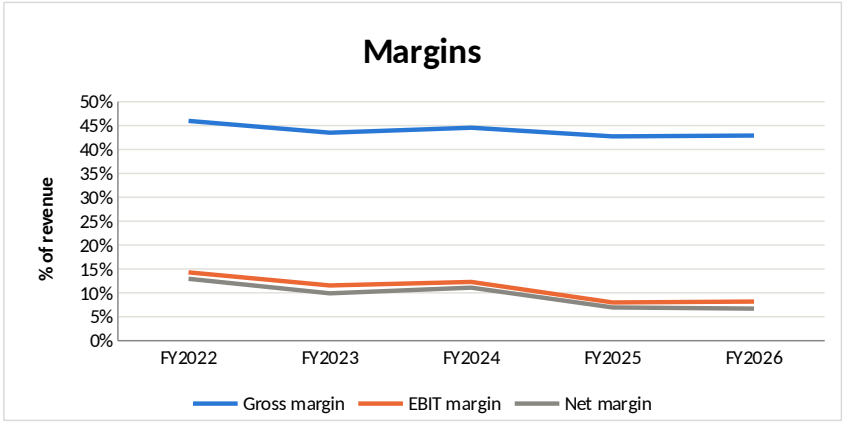
7. Working capital: inventory days are steady at about 103 after the FY2022 glut was cleared, but receivable days rose from 30 to 42, which held back FY2026 cash flow (FCF conversion 70%).

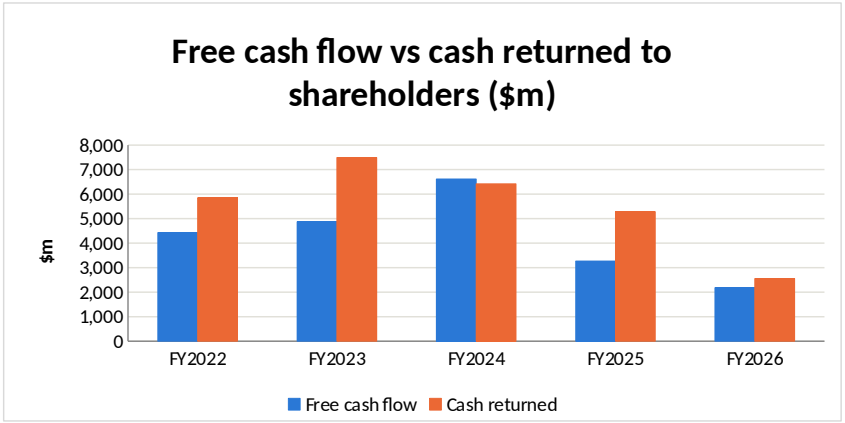
Overall: a financially solid company in a turnaround. The priority to watch is whether gross margin and sales growth recover enough to justify the higher marketing spend.

Charts

All charts read from the Ratios and Summary sheets. Fiscal years 2022 to 2026.







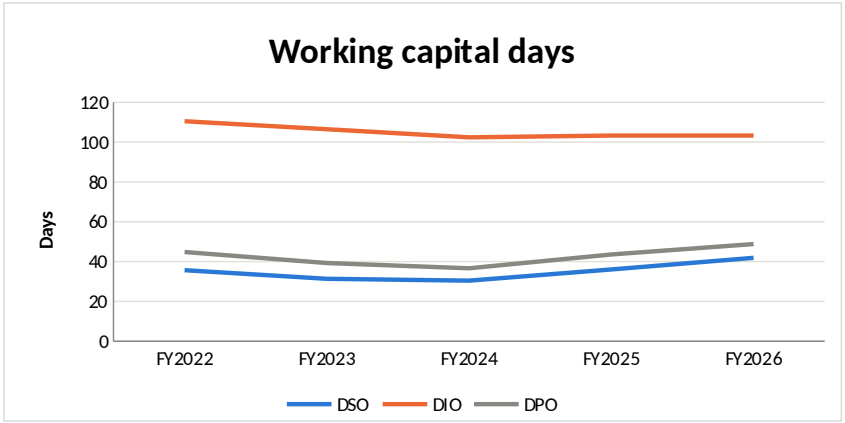
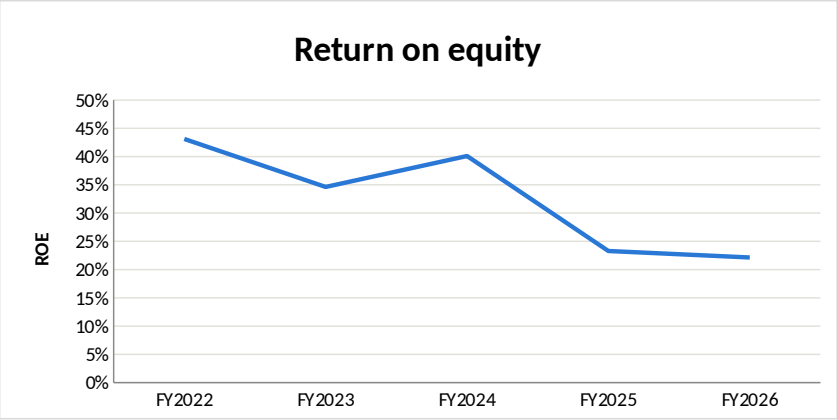
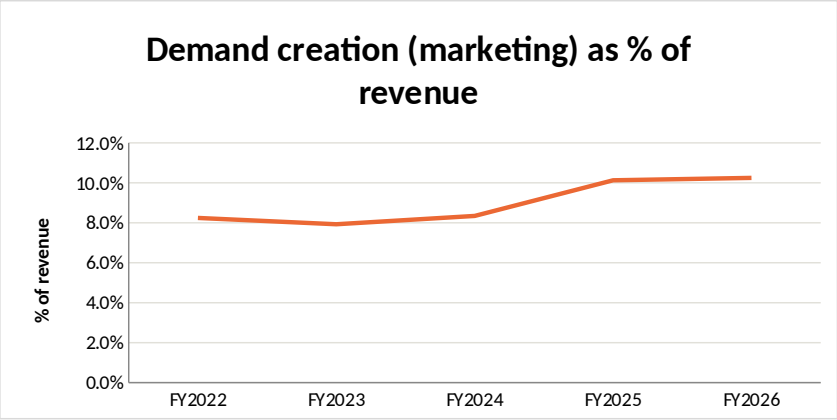


Chart data (linked)

Year	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	46,710	51,217	51,362	46,309	46,398

Net income	6,046	5,070	5,700	3,219	3,108
Gross margin	46.0%	43.5%	44.6%	42.7%	42.9%
EBIT margin	14.3%	11.5%	12.3%	8.0%	8.2%
Net margin	12.9%	9.9%	11.1%	7.0%	6.7%
Free cash flow	4,430	4,872	6,617	3,268	2,184
Cash returned	5,851	7,492	6,419	5,285	2,553
DSO	35.7	31.3	30.4	36.0	41.9
DIO	110.5	106.5	102.4	103.3	103.3
DPO	44.8	39.2	36.6	43.6	48.8
ROE	43.1%	34.6%	40.1%	23.3%	22.1%
Demand creation %	8.2%	7.9%	8.3%	10.1%	10.2%





Consolidated Income Statement

Source: NIKE, Inc. Form 10-K filings for fiscal 2021 to 2026 (years end 31 May), as reported.

$ millions unless stated	FY2021 (Base year)	FY2022	FY2023	FY2024	FY2025	FY2026
Revenues	44,538	46,710	51,217	51,362	46,309	46,398
Cost of sales	24,576	25,231	28,925	28,475	26,519	26,487
Gross profit	**19,962**	**21,479**	**22,292**	**22,887**	**19,790**	**19,911**
Demand creation expense	3,114	3,850	4,060	4,285	4,689	4,754
Operating overhead expense	9,911	10,954	12,317	12,291	11,399	11,360
Total selling and administrative expense	**13,025**	**14,804**	**16,377**	**16,576**	**16,088**	**16,114**
Operating income (EBIT)	**6,937**	**6,675**	**5,915**	**6,311**	**3,702**	**3,797**
Interest expense (income), net	262	205	(6)	(161)	(107)	(50)
Other (income) expense, net	14	(181)	(280)	(228)	(76)	(53)
Income before income taxes	**6,661**	**6,651**	**6,201**	**6,700**	**3,885**	**3,900**
Income tax expense	934	605	1,131	1,000	666	792
Net income	**5,727**	**6,046**	**5,070**	**5,700**	**3,219**	**3,108**
Diluted EPS ($)	$3.56	$3.75	$3.23	$3.73	$2.16	$2.10
Diluted weighted average shares (m)	1,609.4	1,610.8	1,569.8	1,529.7	1,487.6	1,481.0

Consolidated Balance Sheet

Source: NIKE, Inc. Form 10-K filings for fiscal 2021 to 2026 (years end 31 May), as reported. Balances at 31 May.

$ millions unless stated	FY2021 (Base year)	FY2022	FY2023	FY2024	FY2025	FY2026
Current assets						
Cash and equivalents	9,889	8,574	7,441	9,860	7,464	7,563
Short-term investments	3,587	4,423	3,234	1,722	1,687	1,464
Accounts receivable, net	4,463	4,667	4,131	4,427	4,717	5,931
Inventories	6,854	8,420	8,454	7,519	7,489	7,501
Prepaid expenses and other current assets	1,498	2,129	1,942	1,854	2,005	2,144
Total current assets	**26,291**	**28,213**	**25,202**	**25,382**	**23,362**	**24,603**
Property, plant and equipment, net	4,904	4,791	5,081	5,000	4,828	4,796
Operating lease right-of-use assets, net	3,113	2,926	2,923	2,718	2,712	2,838
Identifiable intangible assets, net	269	286	274	259	259	259
Goodwill	242	284	281	240	240	240
Deferred income taxes and other assets	2,921	3,821	3,770	4,511	5,178	5,674
Total assets	**37,740**	**40,321**	**37,531**	**38,110**	**36,579**	**38,410**
Current liabilities						
Current portion of long-term debt	-	500	-	1,000	-	2,000
Notes payable	2	10	6	6	5	-
Accounts payable	2,836	3,358	2,862	2,851	3,479	3,600
Current portion of operating lease liabilities	467	420	425	477	502	478
Accrued liabilities	6,063	6,220	5,723	5,725	5,911	6,092
Income taxes payable	306	222	240	534	669	377
Total current liabilities	**9,674**	**10,730**	**9,256**	**10,593**	**10,566**	**12,547**
Long-term debt	9,413	8,920	8,927	7,903	7,961	5,942
Operating lease liabilities	2,931	2,777	2,786	2,566	2,550	2,613
Deferred income taxes and other liabilities	2,955	2,613	2,558	2,618	2,289	2,443
Total liabilities	**24,973**	**25,040**	**23,527**	**23,680**	**23,366**	**23,545**

Shareholders' equity						
Common stock at stated value	3	3	3	3	3	3
Capital in excess of stated value	9,965	11,484	12,412	13,409	14,195	15,158
Accumulated other comprehensive income (loss)	(380)	318	231	53	(258)	(141)
Retained earnings (deficit)	3,179	3,476	1,358	965	(727)	(155)
Total shareholders' equity	**12,767**	**15,281**	**14,004**	**14,430**	**13,213**	**14,865**
Total liabilities and shareholders' equity	**37,740**	**40,321**	**37,531**	**38,110**	**36,579**	**38,410**

Consolidated Cash Flow Statement

Source: NIKE, Inc. Form 10-K filings for fiscal 2021 to 2026 (years end 31 May), as reported.

$ millions unless stated	FY2021 (Base year)	FY2022	FY2023	FY2024	FY2025	FY2026
Operating activities						
Net income	5,727	6,046	5,070	5,700	3,219	3,108
Depreciation and amortization	744	717	703	796	775	747
Deferred income taxes	(385)	(650)	(117)	(497)	(288)	(96)
Stock-based compensation	611	638	755	804	709	715
Impairment and other	53	123	156	48	33	50
Net foreign currency adjustments	(138)	(26)	(213)	(138)	37	22
(Increase) decrease in accounts receivable	(1,606)	(504)	489	(329)	(257)	(1,207)
(Increase) decrease in inventories	507	(1,676)	(133)	908	120	(31)
(Increase) decrease in prepaid expenses and other assets	(182)	(845)	(644)	(260)	(224)	519
Increase (decrease) in payables and other liabilities	1,326	1,365	(225)	397	(426)	(959)
Cash provided by operations	**6,657**	**5,188**	**5,841**	**7,429**	**3,698**	**2,868**
Investing activities						
Purchases of short-term investments	(9,961)	(12,913)	(6,059)	(4,767)	(3,234)	(1,316)
Maturities of short-term investments	4,236	8,199	3,356	2,269	319	556
Sales of short-term investments	2,449	3,967	4,184	4,219	3,062	1,021
Additions to property, plant and equipment	(695)	(758)	(969)	(812)	(430)	(684)
Other investing activities	171	(19)	52	(15)	8	(65)
Cash provided (used) by investing activities	**(3,800)**	**(1,524)**	**564**	**894**	**(275)**	**(488)**
Financing activities						
Increase (decrease) in notes payable, net	(52)	15	(4)	-	(1)	-
Repayment of borrowings	(197)	-	(500)	-	(1,000)	-
Proceeds from stock options and other issuances	1,172	1,151	651	667	551	354
Repurchase of common stock	(608)	(4,014)	(5,480)	(4,250)	(2,985)	(146)
Dividends paid	(1,638)	(1,837)	(2,012)	(2,169)	(2,300)	(2,407)

Other financing activities	(136)	(151)	(102)	(136)	(85)	(93)
Cash provided (used) by financing activities	**(1,459)**	**(4,836)**	**(7,447)**	**(5,888)**	**(5,820)**	**(2,292)**
Effect of exchange rate changes	143	(143)	(91)	(16)	1	11
Net increase (decrease) in cash	**1,541**	**(1,315)**	**(1,133)**	**2,419**	**(2,396)**	**99**
Cash at beginning of year	8,348	9,889	8,574	7,441	9,860	7,464
Cash at end of year	**9,889**	**8,574**	**7,441**	**9,860**	**7,464**	**7,563**
Supplementary disclosure						
Cash paid for interest, net of capitalized interest	293	290	347	381	389	323

Common-Size Statements

Each line as a % of revenue (income statement) or total assets (balance sheet), so years of different size compare directly.

$ millions unless stated	Formula	FY2022	FY2023	FY2024	FY2025	FY2026
Income statement, % of revenue						
Revenues	*Line / revenue*	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of sales	*Line / revenue*	54.0%	56.5%	55.4%	57.3%	57.1%
Gross profit	*Line / revenue*	46.0%	43.5%	44.6%	42.7%	42.9%
Demand creation expense	*Line / revenue*	8.2%	7.9%	8.3%	10.1%	10.2%
Operating overhead expense	*Line / revenue*	23.5%	24.0%	23.9%	24.6%	24.5%
Total selling and administrative expense	*Line / revenue*	31.7%	32.0%	32.3%	34.7%	34.7%
Operating income (EBIT)	*Line / revenue*	14.3%	11.5%	12.3%	8.0%	8.2%
Interest expense (income), net	*Line / revenue*	0.4%	(0.0%)	(0.3%)	(0.2%)	(0.1%)
Other (income) expense, net	*Line / revenue*	(0.4%)	(0.5%)	(0.4%)	(0.2%)	(0.1%)
Income before income taxes	*Line / revenue*	14.2%	12.1%	13.0%	8.4%	8.4%
Income tax expense	*Line / revenue*	1.3%	2.2%	1.9%	1.4%	1.7%
Net income	*Line / revenue*	12.9%	9.9%	11.1%	7.0%	6.7%
Balance sheet, % of total assets						
Cash and equivalents	*Line / total assets*	21.3%	19.8%	25.9%	20.4%	19.7%
Short-term investments	*Line / total assets*	11.0%	8.6%	4.5%	4.6%	3.8%
Accounts receivable, net	*Line / total assets*	11.6%	11.0%	11.6%	12.9%	15.4%
Inventories	*Line / total assets*	20.9%	22.5%	19.7%	20.5%	19.5%
Prepaid expenses and other current assets	*Line / total assets*	5.3%	5.2%	4.9%	5.5%	5.6%
Total current assets	*Line / total assets*	70.0%	67.1%	66.6%	63.9%	64.1%
Property, plant and equipment, net	*Line / total assets*	11.9%	13.5%	13.1%	13.2%	12.5%
Operating lease right-of-use assets, net	*Line / total assets*	7.3%	7.8%	7.1%	7.4%	7.4%
Identifiable intangible assets, net	*Line / total assets*	0.7%	0.7%	0.7%	0.7%	0.7%
Goodwill	*Line / total assets*	0.7%	0.7%	0.6%	0.7%	0.6%
Deferred income taxes and other assets	*Line / total assets*	9.5%	10.0%	11.8%	14.2%	14.8%
Total assets	*Line / total assets*	100.0%	100.0%	100.0%	100.0%	100.0%
Current portion of long-term debt	*Line / total assets*	1.2%	-	2.6%	-	5.2%
Notes payable	*Line / total assets*	0.0%	0.0%	0.0%	0.0%	-
Accounts payable	*Line / total assets*	8.3%	7.6%	7.5%	9.5%	9.4%

Current portion of operating lease liabilities	*Line / total assets*	1.0%	1.1%	1.3%	1.4%	1.2%
Accrued liabilities	*Line / total assets*	15.4%	15.2%	15.0%	16.2%	15.9%
Income taxes payable	*Line / total assets*	0.6%	0.6%	1.4%	1.8%	1.0%
Total current liabilities	*Line / total assets*	26.6%	24.7%	27.8%	28.9%	32.7%
Long-term debt	*Line / total assets*	22.1%	23.8%	20.7%	21.8%	15.5%
Operating lease liabilities	*Line / total assets*	6.9%	7.4%	6.7%	7.0%	6.8%
Deferred income taxes and other liabilities	*Line / total assets*	6.5%	6.8%	6.9%	6.3%	6.4%
Total liabilities	*Line / total assets*	62.1%	62.7%	62.1%	63.9%	61.3%
Common stock at stated value	*Line / total assets*	0.0%	0.0%	0.0%	0.0%	0.0%
Capital in excess of stated value	*Line / total assets*	28.5%	33.1%	35.2%	38.8%	39.5%
Accumulated other comprehensive income (loss)	*Line / total assets*	0.8%	0.6%	0.1%	(0.7%)	(0.4%)
Retained earnings (deficit)	*Line / total assets*	8.6%	3.6%	2.5%	(2.0%)	(0.4%)
Total shareholders' equity	*Line / total assets*	37.9%	37.3%	37.9%	36.1%	38.7%
Total liabilities and shareholders' equity	*Line / total assets*	100.0%	100.0%	100.0%	100.0%	100.0%

Ratio Analysis

Fiscal years 2022 to 2026. Balance sheet ratios use the average of opening and closing balances.

$ millions unless stated	Formula	FY2022	FY2023	FY2024	FY2025	FY2026	What it tells you
Growth							
Revenue growth	*Revenue / prior year - 1*	4.9%	9.6%	0.3%	(9.8%)	0.2%	*Sales peaked in FY2024, then fell almost 10% in FY2025 and were flat in FY2026.*
Operating income growth	*EBIT / prior year - 1*	(3.8%)	(11.4%)	6.7%	(41.3%)	2.6%	*Profit falls much faster than sales: costs did not shrink with revenue (operating leverage).*
Net income growth	*Net income / prior year - 1*	5.6%	(16.1%)	12.4%	(43.5%)	(3.4%)	
Diluted EPS growth	*EPS / prior year - 1*	5.3%	(13.9%)	15.5%	(42.1%)	(2.8%)	*EPS falls slightly less than net income because buybacks reduced the share count.*
Profitability							
Gross margin	*Gross profit / revenue*	46.0%	43.5%	44.6%	42.7%	42.9%	*Down about 3 points from FY2022: heavier discounting to clear inventory and product mix.*
Demand creation (marketing) % of revenue	*Demand creation / revenue*	8.2%	7.9%	8.3%	10.1%	10.2%	*Marketing spend rose from 8% to over 10% of sales while sales fell.*
Operating overhead % of revenue	*Operating overhead / revenue*	23.5%	24.0%	23.9%	24.6%	24.5%	
Operating (EBIT) margin	*EBIT / revenue*	14.3%	11.5%	12.3%	8.0%	8.2%	*The key profitability measure: from 14.3% to 8.2% in four years.*
EBITDA margin	*(EBIT + D&A) / revenue*	15.8%	12.9%	13.8%	9.7%	9.8%	
Net margin	*Net income / revenue*	12.9%	9.9%	11.1%	7.0%	6.7%	
Effective tax rate	*Tax / profit before tax*	9.1%	18.2%	14.9%	17.1%	20.3%	*Rising tax rate is another drag on net income in FY2026.*
Return on equity (ROE)	*Net income / average equity*	43.1%	34.6%	40.1%	23.3%	22.1%	*Still high for a consumer company, but roughly halved since FY2022.*
Return on assets (ROA)	*Net income / average total assets*	15.5%	13.0%	15.1%	8.6%	8.3%	
DuPont analysis (ROE = net margin x asset turnover x equity multiplier)							
Net margin	*Net income / revenue*	12.9%	9.9%	11.1%	7.0%	6.7%	*This is the component that moved: ROE fell because margins fell.*
Asset turnover	*Revenue / average total assets*	1.20x	1.32x	1.36x	1.24x	1.24x	*Stable at about 1.2x to 1.4x.*
Equity multiplier	*Average assets / average equity*	2.78x	2.66x	2.66x	2.70x	2.67x	*Stable leverage, so not the driver.*
ROE (DuPont)	*Product of the three above*	43.1%	34.6%	40.1%	23.3%	22.1%	*Equals ROE above: proves the breakdown adds up.*
Liquidity							
Current ratio	*Current assets / current liabilities*	2.63x	2.72x	2.40x	2.21x	1.96x	*Comfortable, though down from 2.6x to 2.0x. FY2026 includes $2bn of debt due within a year.*
Quick ratio	*(Cash + investments + receivables) / current liabilities*	1.65x	1.60x	1.51x	1.31x	1.19x	*Excludes inventory, which may need discounting to sell.*
Cash ratio	*(Cash + short-term investments) / current liabilities*	1.21x	1.15x	1.09x	0.87x	0.72x	
Efficiency (working capital)							
Days sales outstanding (DSO)	*Average receivables / revenue x 365*	35.7	31.3	30.4	36.0	41.9	*Customers took about 42 days to pay in FY2026, up from 30: worth watching.*
Days inventory outstanding (DIO)	*Average inventory / cost of sales x 365*	110.5	106.5	102.4	103.3	103.3	*Inventory was cut back after the FY2022 glut and is now steady.*
Days payables outstanding (DPO)	*Average payables / cost of sales x 365*	44.8	39.2	36.6	43.6	48.8	
Cash conversion cycle	*DSO + DIO - DPO*	101.3	98.6	96.2	95.8	96.4	*Days of sales tied up in working capital. Slightly better than FY2022.*
Inventory turnover	*Cost of sales / average inventory*	3.30x	3.43x	3.57x	3.53x	3.53x	
Asset turnover	*Revenue / average total assets*	1.20x	1.32x	1.36x	1.24x	1.24x	
Leverage and solvency							
Total debt	*Current + long-term debt + notes payable*	9,430	8,933	8,909	7,966	7,942	*Excludes lease liabilities.*
Cash and short-term investments		12,997	10,675	11,582	9,151	9,027	
Net cash (debt)	*Cash and investments - total debt*	3,567	1,742	2,673	1,185	1,085	*Still net cash, but the cushion shrank from $3.6bn to $1.1bn.*
Debt to equity	*Total debt / equity*	0.62x	0.64x	0.62x	0.60x	0.53x	
Debt to EBITDA	*Total debt / EBITDA*	1.28x	1.35x	1.25x	1.78x	1.75x	*Rose from 1.3x to 1.7x because EBITDA fell, not because debt rose.*
Interest cover	*EBIT / cash interest paid*	23.02x	17.05x	16.56x	9.52x	11.76x	*Uses interest paid because reported net interest is income (cash earns more than debt costs).*

Cash flow and shareholder returns							
Cash from operations	*From cash flow statement*	5,188	5,841	7,429	3,698	2,868	
Capital expenditure	*Additions to PP&E*	758	969	812	430	684	
Free cash flow (FCF)	*Cash from operations - capex*	4,430	4,872	6,617	3,268	2,184	*Fell by half from FY2022 to FY2026.*
FCF margin	*FCF / revenue*	9.5%	9.5%	12.9%	7.1%	4.7%	
FCF conversion	*FCF / net income*	73.3%	96.1%	116.1%	101.5%	70.3%	*Above 100% means profits are backed by cash. FY2026 is weaker because receivables grew.*
Share buybacks		4,014	5,480	4,250	2,985	146	
Dividends		1,837	2,012	2,169	2,300	2,407	*Dividends kept rising every year.*
Total cash returned to shareholders	*Buybacks + dividends*	5,851	7,492	6,419	5,285	2,553	
Cash returned as % of FCF	*Returns / FCF*	132.1%	153.8%	97.0%	161.7%	116.9%	*Above 100% in most years: Nike returned more than it generated, funded from its cash pile.*

Checks

Every check should show OK. Reported totals are typed in from the 10-K and compared with the totals the model calculates.

$ millions unless stated	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Gross profit agrees to 10-K (difference)	-	-	-	-	-	-
Income before taxes agrees to 10-K (difference)	-	-	-	-	-	-
Net income agrees to 10-K (difference)	-	-	-	-	-	-
Total current assets agree to 10-K (difference)	-	-	-	-	-	-
Total assets agree to 10-K (difference)	-	-	-	-	-	-
Total current liabilities agree to 10-K (difference)	-	-	-	-	-	-
Total equity agrees to 10-K (difference)	-	-	-	-	-	-
Cash from operations agrees to 10-K (difference)	-	-	-	-	-	-
Cash from investing agrees to 10-K (difference)	-	-	-	-	-	-
Cash from financing agrees to 10-K (difference)	-	-	-	-	-	-
Balance sheet balances (assets - liabilities - equity)	-	-	-	-	-	-
Cash flow ending cash = balance sheet cash	-	-	-	-	-	-
Diluted EPS ties to net income / shares (cents)	-	-	-	-	-	-

Overall status **OK**